NewsBank inc.

UC-Berkeley chancellor waives 1/3 of student government debt

February 28, 2003 | U-Wire (USA)
Author: UC-Berkeley; Stephanie Lee | Section: News | 510 Words
OpenURL Link

(*#_Company_Name_#*) BERKELEY, Calif. -- University of California at Berkeley Chancellor Robert Berdahl forgave one-third of the Associated Students of the University of California's massive budget debt last Friday, paving the way for fiscal recovery.

The ASUC owed the university $360,000 as a result of an accounting error in last year's budget.

Berdahl's decision allows the senate to pay the remaining $240,000 owed to the university interest-free during a three-year period beginning this year.

Berdahl's decision will allow senators to fulfill their promises to fund more student groups, said ASUC President Jesse Gabriel.

ASUC senators have withheld payments to student groups since their money dried up at the end of last semester.

Convinced that university officials are partly to blame for the ASUC's financial situation, Gabriel said he has been trying to persuade Berdahl to subsidize part of the senate's debt since last semester.

The senate's financial woes and other cutbacks prompted Berdahl to forgive some of the senate's deficit, Gabriel said.

"I think the chancellor was fair in what he gave us," he said.

ASUC senators said their budget crunch prevented them from aiding student groups this semester -- the senate's primary goal.

"I believe the quality of student life has suffered somewhat because there was a lack of funds," said Student Action Senator Jenn Ro, chair of the Senate Finance Committee.

Many student groups depend on the senate to help fund cultural events and programs offered on campus, senators said.

The ASUC owed the money for last year's increase in student activity fees. UC-Berkeley requires that one-third of any student fee increase go back to the financial aid office.

An accounting oversight, however, routed that money to the ASUC's budget instead of to the financial aid office.

Last year's senate allocated the extra money at the end of the 2001-02 school year to student groups.

University officials notified Gabriel last semester of the misallocation.

ASUC senators have been scrambling to come up with the money ever since.

Now Berdahl will send $120,000 from his discretionary fund to make up for the loss in the financial aid office, said Charles Upshaw, chief of staff in the office of the Executive Vice Chancellor and Provost.

The details of the payment plan are still being worked out by Gabriel and Berdahl.

Berdahl's decision came as welcome news to many senators.

"The chancellor has definitely helped to alleviate perhaps future problems for the ASUC," Ro said.

Despite Berdahl's aid, the senate's contingency fund is empty.

The senate's fiscal situation went from bad to worse last week when $10,000 from its contingency fund was returned to the senate's long-term investment fund.

Senators want to get the money back for allocation in the coming weeks.

Senators must formally accept Berdahl's decision, which will take a few weeks.

The ASUC can plan how to pay back the university and move the ASUC budget out of the red after that, senators said.

With the chancellor's help, recovery will be easier now, Ro said.

"We're going into the hole, but we're going to fix it," said APPLE Senator Misha Leybovich.

Copyright (c) 2003, Daily Californian (University of California-Berkeley) (CA) via U-Wire. All Rights Reserved.

- **Citation (apa Style)**
  Lee, S. (2003, February 28). UC-Berkeley chancellor waives 1/3 of student government debt.*Daily Californian (University of California-Berkeley) (CA)*. Available from NewsBank: Access World News – Historical and Current: https://infoweb.newsbank.com/apps/news/document-view?p=WORLDNEWS&docref=news/10F6EEC05B868240.